

RBI Circular Reference Pack

Companion to the Unsecured Personal & Consumer Lending Credit Policy (v4.1)

Every RBI instrument that shaped the Company's unsecured personal lending policy, with its verified reference number, dates, applicability, key provisions and the policy version it drove. Each is supplied as a separate PDF in the **/circulars** folder (RBI originals where available; faithful typeset reproductions of the authoritative rbi.org.in notification otherwise). All reference numbers and dates were independently verified against rbi.org.in.

1. Circular-to-policy-version map

#	RBI instrument	Reference	Issued	Drove version	PDF in /circulars
1	Guidelines on Digital Lending	RBI/2022-23/111 DOR.CRE.RE C.66/21.07.001/2022-23	2 September 2022	1.1	CIRC-01 (reproduction)
2	Master Direction – Reserve Bank of India (Regulatory	RBI/DOR/2021-22/89 DoR.FIN.R EC.95/03.10.038/2021-22	14 March 2022	—	not applicable to this product (related MFI Master Direction)
3	Guidelines on Default Loss Guarantee (DLG) in Digita	RBI/2023-24/41 DOR.CRE.REC. 21/21.07.001/2023-24	08 June 2023	2.0	CIRC-02 (RBI original)
4	Fair Lending Practice - Penal Charges in Loan Accoun	RBI/2023-24/53 DoR.MCS.REC. 28/01.01.001/2023-24	18 August 2023	2.0 / 3.0	CIRC-03 (reproduction)
5	Reset of Floating Interest Rate on Equated Monthly I	RBI/2023-24/55 DOR.MCS.REC. 32/01.01.003/2023-24	18 August 2023	2.0	CIRC-04 (reproduction)
6	Responsible Lending Conduct - Release of Movable / I	RBI/2023-24/60 DoR.MCS.REC. 38/01.01.001/2023-24	13 September 2023	2.0	CIRC-05 (reproduction)
7	Master Direction – Reserve Bank of India (Non-Bankin	RBI/DoR/2023-24/106 DoR.FIN. REC.No.45/03.10.119/2023-24	19 October 2023	2.0	CIRC-06 (RBI original, full MD)
8	Regulatory measures towards consumer credit and bank	RBI/2023-24/85 DOR.STR.REC. 57/21.06.001/2023-24	16 November 2023	2.1	CIRC-07 (reproduction)
9	Key Facts Statement (KFS) for Loans & Advances	RBI/2024-25/18 DOR.STR.REC. 13/13.03.00/2024-25	15 April 2024	3.0	CIRC-08 (RBI original)
10	Frequency of reporting of credit information by Cred	RBI/2024-25/60 DoR.FIN.REC.N o.32/20.16.056/2024-25	8 August 2024	3.1	CIRC-09 (reproduction)
11	Reserve Bank of India (Digital Lending) Directions,	RBI/2025-26/36 DOR.STR.REC. 19/21.07.001/2025-26	8 May 2025	4.0	CIRC-10 (reproduction)
12	Master Direction - Know Your Customer (KYC) Directio	RBI/DBR/2015-16/18 Master Direction DBR.AML.BC.No.81/14 .01.001/2015-16	25 February 2016	1.0 (baseline)	REF-A (RBI original, full MD)

Verdicts: 11 of 12 references CONFIRMED against rbi.org.in on first pass; the Scale Based Regulation Master Direction reference was CORRECTED to RBI/DoR/2023-24/105 after adversarial re-check (read directly off the RBI PDF cover). The penal-charges circular header on rbi.org.in now carries a "Withdrawn 04-12-2025" watermark as it has since been consolidated into a later Master Direction; it remains the correct driver for the 2023-24 policy iterations.

2. Circular detail

1. Guidelines on Digital Lending

Reference (verified)	RBI/2022-23/111 DOR.CRE.REC.66/21.07.001/2022-23
Issued / effective	2 September 2022 effective Effective from date of issue (2 September 2022); Regulated Entities given until 30 November 2022 to bring existing digital loans (sanctioned as on the circular date) into compliance
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India; signed by Manoranjan Mishra, Chief General Manager
Applies to	All Regulated Entities: all Commercial Banks, Primary (Urban) Co-operative Banks, State Co-operative Banks, District Central Co-operative Banks, and N
Verification	CONFIRMED
Drove policy version	1.1 (PDF: CIRC-01 (reproduction))

Key provisions relevant to the policy:

- Key Fact Statement (KFS): A KFS must be provided to the borrower in a standardized format before execution of the loan contract, disclosing the all-inclusive Annual Percentage Rate (APR), recovery mechanism, grievance redressal officer details, and cooling-off period.
- Annual Percentage Rate (APR): The all-inclusive effective annualised cost of the digital loan must be computed and disclosed upfront to the borrower and included in the KFS; the RE cannot charge any fees/charges not disclosed in the KFS.
- Cooling-off / look-up period: Borrowers must be given a cooling-off period of not less than 3 days for loans of tenor 7 days or more, and 1 day for loans of tenor less than 7 days, during which they can exit by repaying principal plus the proportionate APR without any penalty.
- Direct disbursement and repayment routing: All loan disbursements must go directly from the RE's bank account into the borrower's bank account, and all repayment/servicing must flow directly into the RE's bank account, with no pass-through / pool account of any LSP, DLA, or third party (limited exceptions for statutory/regulatory-mandated flows and co-lending).
- Penal interest/charges: Penal interest/charges must be based on the outstanding amount, and the rate of penal charges must be disclosed upfront on an annualised basis in the KFS.
- LSP/DLA due diligence and conduct: REs must carry out enhanced due diligence before onboarding an LSP/DLA (technical ability, data privacy, storage, fair conduct, regulatory compliance); the RE remains responsible for LSP/DLA conduct, and product features, RE name, and loan details must be disclosed to the borrower.

Impact on the policy: An NBFC unsecured personal lending credit policy must be updated to: (1) mandate issuance of a standardized KFS with a computed all-inclusive APR before every loan contract; (2) build a cooling-off/look-up mechanism (3 days for tenor ≥ 7 days, 1 day for tenor < 7 days) allowing penalty-free exit against principal + proportionate APR; (3) require all disbursements to flow directly into the borrower's bank account and all repayments directly into the NBFC's account, prohibiting any LSP/DLA/third-party pool or pass-through accounts (co-lending/statutory exceptions carved out); (4) codify penal-charge...

2. Master Direction – Reserve Bank of India (Regulatory Framework for Microfinance Loans) Directions, 2022

Reference (verified)	RBI/DOR/2021-22/89 DoR.FIN.REC.95/03.10.038/2021-22
Issued / effective	14 March 2022 effective 1 April 2022
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India
Applies to	All Regulated Entities (REs): all Commercial Banks (including Small Finance Banks, Local Area Banks and Regional Rural Banks) excluding Payments Banks
Verification	CONFIRMED
Drove policy version	— (PDF: not applicable to this product (related MFI Master Direction))

Key provisions relevant to the policy:

- Microfinance loan is defined as a collateral-free loan given to a household having annual household income up to Rs 3,00,000; loans to such households must be treated under this framework.
- Total monthly loan repayment obligations of a household are capped at 50% of monthly household income; this outflow includes repayments (principal + interest) on ALL existing loans of the household (both collateral-free microfinance loans and other collateralized loans) plus the loan under consideration.
- Each RE must have a board-approved policy for assessment of household income; the RE must obtain household income and existing debt details and record them in a database (report to Credit Information Companies).
- Loans must be collateral-free and must not be linked to a lien on the borrower's deposit account; no security/collateral may be taken.

- Each RE must have a board-approved policy on pricing of microfinance loans covering interest rate model, components of interest rate/charges, range of spread and a ceiling on interest rate; interest rates and charges must not be usurious and are subject to RBI supervisory scrutiny.
- No pre-payment penalty is permitted on microfinance loans; penalty for delayed payment, if any, must be applied only on the overdue amount and not on the entire loan amount.

Impact on the policy: An NBFC unsecured personal / microfinance lending credit policy must be updated to: (1) segment borrowers by annual household income and treat any collateral-free loan to a household with annual income up to Rs 3,00,000 as a microfinance loan under this MD; (2) build a board-approved household-income assessment methodology and a mandatory FOIR test capping total household monthly debt repayments (principal+interest across all lenders, including the new loan) at 50% of monthly household income, with bureau/CIC checks to capture existing obligations; (3) remove any collateral or deposit-lien req...

3. Guidelines on Default Loss Guarantee (DLG) in Digital Lending

Reference (verified)	RBI/2023-24/41 DOR.CRE.REC.21/21.07.001/2023-24
Issued / effective	08 June 2023 effective 08 June 2023 (guidelines came into effect from the date of the circular)
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India
Applies to	All Commercial Banks (including Small Finance Banks); Primary (Urban) Co-operative Banks, State Co-operative Banks and Central Co-operative Banks; and
Verification	CONFIRMED
Drove policy version	2.0 (PDF: CIRC-02 (RBI original))

Key provisions relevant to the policy:

- DLG cap: total amount of DLG cover on any outstanding loan portfolio, specified upfront, must not exceed 5% of the amount of that loan portfolio; for implicit guarantee structures the DLG provider must not bear performance risk exceeding an amount equivalent to 5% of the underlying loan portfolio.
- Permitted forms of DLG only: (i) cash deposited with the RE; (ii) fixed deposit maintained with a Scheduled Commercial Bank with a lien marked in favour of the RE; or (iii) a bank guarantee in favour of the RE. No other form (e.g. corporate guarantee) qualifies.
- Invocation timeline: the RE must invoke DLG within a maximum overdue period of 120 days, unless the amount is made good by the borrower before that.
- NPA recognition and provisioning on individual loans remain the RE's responsibility as per extant asset classification and provisioning norms, irrespective of any DLG cover available; DLG amount invoked cannot be set off against underlying individual loans.
- DLG agreement tenor must be not less than the longest tenor of the loan in the underlying loan portfolio.
- Board-approved policy required before entering any DLG arrangement, covering eligibility criteria for the DLG provider, nature and extent of DLG cover, process of monitoring and reviewing the arrangement, and details of fees payable.

Impact on the policy: An NBFC unsecured personal lending credit policy must add an explicit DLG/FLDG framework: (1) cap all portfolio-level DLG cover at 5% of the loan portfolio amount specified upfront, and reject any arrangement exceeding this; (2) restrict acceptable DLG forms to cash, lien-marked fixed deposits with a scheduled commercial bank, or bank guarantee only; (3) mandate DLG invocation within 120 days of overdue; (4) hard-wire that NPA classification and provisioning on individual loans continue as per RBI norms regardless of DLG, so DLG must not be used to mask asset quality or evergreen loans; (5) re...

4. Fair Lending Practice - Penal Charges in Loan Accounts

Reference (verified)	RBI/2023-24/53 DoR.MCS.REC.28/01.01.001/2023-24
Issued / effective	18 August 2023 effective 1 April 2024 (originally 1 January 2024; extended to 1 April 2024 via RBI/2023-24/102 dated 29 December 2023). For existing loans, switchover on next review/renewal date on or after 1 April 2024 but not later than 30 June 2024.
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India
Applies to	All Regulated Entities: all Commercial Banks (including Small Finance Banks, Local Area Banks, Regional Rural Banks; excluding Payments Banks); all Pr
Verification	CONFIRMED
Drove policy version	2.0 / 3.0 (PDF: CIRC-03 (reproduction))

Key provisions relevant to the policy:

- Penalty for non-compliance of material terms and conditions of a loan contract by the borrower must be treated as 'penal charges' and shall NOT be levied as 'penal interest' added to the rate of interest charged on the advance.

- No capitalisation of penal charges: no further interest may be computed on penal charges (this does not affect normal compounding of interest in the loan account).
- Regulated Entities must formulate a Board-approved policy on penal charges (or similar charges by whatever name called).
- Quantum of penal charges must be reasonable and commensurate with the specific non-compliance of material terms and conditions, and must not be discriminatory within a particular loan/product category.
- For loans to individual borrowers for purposes OTHER THAN business, penal charges must NOT be higher than those applicable to non-individual borrowers for similar non-compliance - relevant to unsecured personal lending.
- Penal charges are meant to instil credit discipline and must not be used as a revenue-enhancement tool over and above the contracted interest rate.

Impact on the policy: An NBFC unsecured personal lending credit policy must (1) rename and restructure any late-payment/default penalty from 'penal interest' (a spread added to the interest rate) to a fixed 'penal charge', and stop adding it to the running interest rate; (2) ensure penal charges are not capitalised and no interest accrues on them; (3) adopt/reference a Board-approved penal-charges policy setting out the quantum and basis for each material breach (e.g., cheque/NACH bounce, EMI default, covenant breach); (4) cap penal charges for individual non-business (i.e., personal) borrowers at no more than thos...

5. Reset of Floating Interest Rate on Equated Monthly Instalments (EMI) based Personal Loans

Reference (verified)	RBI/2023-24/55 DOR.MCS.REC.32/01.01.003/2023-24
Issued / effective	18 August 2023 effective Framework applies to existing and new loans; existing borrowers to be given the switch/reset options by 31 December 2023
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India
Applies to	All Regulated Entities: Scheduled Commercial Banks (excluding Payments Banks), Regional Rural Banks, Primary (Urban)/State/District Central Co-operati
Verification	CONFIRMED
Drove policy version	2.0 (PDF: CIRC-04 (reproduction))

Key provisions relevant to the policy:

- At sanction, the RE must clearly communicate to the borrower the possible impact of a change in the benchmark/reference rate on the loan, i.e. how it may lead to a change in EMI and/or tenor or both; any such change must be communicated immediately through appropriate channels.
- At the time of reset of interest rates, REs must give the borrower the option to switch to a fixed rate as per their Board-approved policy; the policy may specify the number of times a borrower is allowed to switch during the loan tenor.
- Borrowers must be given the choice of (i) enhancing the EMI, or (ii) elongating the tenor, or (iii) a combination of both; and (iv) the option to prepay, either partially or in full, at any point during the loan tenor.
- Elongation of tenor on a floating-rate loan must not result in negative amortisation (the EMI must at minimum cover the interest so the outstanding principal does not increase).
- All applicable charges for switching from floating to fixed rate and any other service/administrative costs incidental to the exercise of the above options must be transparently disclosed in the sanction letter and at the time of revision of such charges/costs.
- REs must share/make accessible a statement at the end of each quarter enumerating at minimum: principal and interest recovered to date, the EMI amount, the number of EMIs remaining, and the annualised rate of interest (Annual Percentage Rate/APR) for the entire tenor of the loan.

Impact on the policy: An NBFC unsecured personal-lending credit policy must (1) build sanction-stage disclosure of interest-rate-reset impact on EMI/tenor into loan documentation and sanction letters; (2) adopt a Board-approved policy governing the option to switch from floating to fixed rate, including how many switches a borrower may make and the associated charges; (3) codify the borrower's menu of reset options (increase EMI, extend tenor, combination, or prepay partial/full at any time with prepayment treatment) and hard-code a control preventing tenor elongation from causing negative amortisation; (4) publish...

6. Responsible Lending Conduct - Release of Movable / Immovable Property Documents on Repayment/ Settlement of Personal Loans

Reference (verified)	RBI/2023-24/60 DoR.MCS.REC.38/01.01.001/2023-24
Issued / effective	13 September 2023 effective 1 December 2023 (applies to all cases where release of original documents falls due on or after this date)
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India; signed by Santosh Kumar Panigrahy, Chief General Manager
Applies to	All Commercial Banks (including Small Finance Banks and Regional Rural Banks, excluding Payments Banks), Local Area Banks, Primary (Urban) Co-operativ

Verification	CONFIRMED
Drove policy version	2.0 (PDF: CIRC-05 (reproduction))

Key provisions relevant to the policy:

- Release all original movable/immovable property documents and remove charges registered with any registry within 30 days after full repayment/settlement of the loan account.
- Where the delay in release is attributable to the RE, compensate the borrower at Rs 5,000 for each day of delay.
- State the timeline and place of return of the original property documents in the loan sanction letters issued on or after the effective date (1 December 2023).
- Give the borrower the option to collect the original documents either from the banking outlet/branch where the loan account was serviced or any other office of the RE where the documents are available, as per borrower preference.
- In the event of loss/damage of original documents (whether in part or full), assist the borrower in obtaining duplicate/certified copies and bear the associated costs, plus pay the Rs 5,000/day compensation.
- For loss/damage cases, an additional 30 days is available to complete the procedure (i.e., total 60 days) before the delay-period penalty is calculated.

Impact on the policy: An NBFC unsecured personal lending credit policy must incorporate a documented process for releasing all original collateral/property documents and removing registered charges within 30 days of full repayment or settlement, with a defined borrower-collection option (servicing branch or specified office). It must add a compensation mechanism paying Rs 5,000 per day of delay where the delay is attributable to the NBFC, and require sanction letters to disclose the release timeline, collection location, and this compensation. It must add a loss/damage sub-process (assist borrower with duplicates, ...)

7. Master Direction – Reserve Bank of India (Non-Banking Financial Company – Scale Based Regulation) Directions, 2023 (Fair Practices Code chapter)

Reference (verified)	RBI/DoR/2023-24/106 DoR.FIN.REC.No.45/03.10.119/2023-24
Issued / effective	19 October 2023 effective 19 October 2023 (came into effect immediately on issue; subsequently updated, latest update 17 July 2025)
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India
Applies to	All NBFCs across the four-layered Scale Based Regulation structure (Base, Middle, Upper and Top Layers). The Fair Practices Code obligations apply to
Verification	CORRECTED -> RBI/DoR/2023-24/105 DoR.FIN.REC.No.45/03.10.119/2023-24
Drove policy version	2.0 (PDF: CIRC-06 (RBI original, full MD))

Key provisions relevant to the policy:

- Loan application transparency: application forms must be in a language understood by the borrower and must contain all information (including fees/charges and a stated time frame for loan disposal) that lets the borrower make a meaningful comparison with other NBFCs; the NBFC must give a written acknowledgement of every loan application received.
- Sanction terms in writing: the NBFC must convey in writing (in the vernacular/understood language) the sanctioned loan amount, the annualised rate of interest, the method of application of interest, and all terms and conditions; a copy of the loan agreement plus each enclosure must be furnished to the borrower at sanction. Penal/late-payment charges must be disclosed upfront in bold in the loan agreement.
- Penal charges (Board-approved policy): penalty for non-compliance of material terms must be treated as 'penal charges', not levied as 'penal interest' added to the rate; charges must be reasonable, commensurate with the default, and non-discriminatory within a loan/product category, and an individual borrower cannot be charged a higher penal amount than a non-individual for a similar breach.
- Interest-rate governance: the NBFC's Board must lay down an interest-rate model and gradation-of-risk approach; the rate of interest and the risk-gradation rationale must be disclosed to the borrower in the application and sanction letter and published on the website/updated when rates change. Interest is chargeable only from the date of actual disbursement.
- Changes to terms only prospectively and with notice: any change in interest rate, service charges, fees or other terms/conditions must be notified to the borrower in the vernacular language and applied prospectively only, never retrospectively — a clause to this effect must be built into the loan agreement.
- Floating-rate personal loans (reset framework): at sanction the NBFC must disclose the possible impact of an interest-rate reset on EMI/tenor; borrowers must be given the option to switch to a fixed rate and/or to increase EMI or extend tenor per a Board-approved policy; a quarterly statement must show principal and interest recovered, EMIs remaining, and the annualised rate of interest/APR for the entire tenor. Foreclosure/prepayment is allowed and prepayment charges/penalty on floating-rate term loans to individual (non-business) borrowers must not be levied.

Impact on the policy: An NBFC's unsecured personal-lending credit policy must be brought in line with the Fair Practices Code chapter of the SBR Master Direction. Specifically it must: (1) adopt a Board-approved interest-rate model with explicit risk-gradation criteria and disclose the annualised rate of interest and its rationale in the application form and sanction letter; (2)

issue written acknowledgements for applications and provide the loan agreement plus all enclosures in the borrower's understood language, with all fees/charges and penal charges disclosed upfront in bold; (3) reclassify any 'penal interest'...

8. Regulatory measures towards consumer credit and bank credit to NBFCs

Reference (verified)	RBI/2023-24/85 DOR.STR.REC.57/21.06.001/2023-24
Issued / effective	16 November 2023 effective Immediate effect from 16 November 2023 (with effect from the date of the circular for all fresh and existing exposures). Compliance with the Board-approved sectoral/sub-segment exposure limits under para 2C(a) required by 29 February 2024.
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India; signed by Vaibhav Chaturvedi, Chief General Manager
Applies to	All Commercial Banks (including Small Finance Banks, Local Area Banks and Regional Rural Banks) and all Non-Banking Financial Companies including Hous
Verification	CONFIRMED
Drove policy version	2.1 (PDF: CIRC-07 (reproduction))

Key provisions relevant to the policy:

- Consumer credit risk weight for NBFCs raised from 100% to 125% on retail loans / outstanding as well as new consumer credit exposures (personal loans), the direct provision an NBFC unsecured personal lending policy must reflect.
- Consumer credit risk weight for commercial banks similarly raised from 100% to 125% (relevant when the NBFC on-lends to or co-lends with banks).
- Exclusions from the higher 125% consumer credit risk weight: (a) housing loans, (b) education loans, (c) vehicle loans, (d) loans secured by gold and gold jewellery, and (e) for NBFCs additionally microfinance/SHG loans - these remain at their existing risk weights.
- Credit card receivables risk weight increased: for Scheduled Commercial Banks from 125% to 150%, and for NBFCs from 100% to 125%.
- Bank credit to NBFCs: risk weights on SCB exposures to NBFCs increased by 25 percentage points over the risk weight associated with the given external rating, in all cases where the extant external-rating-based risk weight is below 100%; loans to HFCs and NBFC loans eligible for priority-sector classification are excluded.
- REs (banks and NBFCs) must review their extant sectoral exposure limits for consumer credit and put in place Board-approved limits for the various consumer-credit sub-segments (with particular attention to unsecured consumer credit), monitored on an ongoing basis by the risk management function.

Impact on the policy: The NBFC unsecured personal lending credit policy must (1) apply a 125% risk weight to unsecured personal/consumer loans (up from 100%) in capital adequacy computation, explicitly carving out housing, education, vehicle, gold-secured and microfinance/SHG loans which stay at existing weights; (2) apply 125% to credit card receivables if the NBFC issues cards; (3) incorporate Board-approved sectoral and sub-segment exposure limits/caps for consumer credit, with a dedicated tighter internal cap on unsecured consumer credit, monitored by the risk management function on an ongoing basis and document...

9. Key Facts Statement (KFS) for Loans & Advances

Reference (verified)	RBI/2024-25/18 DOR.STR.REC.13/13.03.00/2024-25
Issued / effective	15 April 2024 effective 1 October 2024 (mandatory for all new retail and MSME term loans sanctioned on or after this date, including fresh loans to existing customers; REs to implement systems at the earliest during the interregnum)
Issuing dept.	Reserve Bank of India, Department of Regulation (DoR) — signed by Vaibhav Chaturvedi, Chief General Manager
Applies to	All Regulated Entities (REs): all Commercial Banks (including Small Finance Banks, Local Area Banks and Regional Rural Banks, excluding Payments Banks
Verification	CONFIRMED
Drove policy version	3.0 (PDF: CIRC-08 (RBI original))

Key provisions relevant to the policy:

- Standardised KFS: A KFS in the RBI-prescribed standardised format (Annex A) must be provided to every prospective borrower before the loan contract is executed, written in a language the borrower understands; contents must be explained and a borrower acknowledgement of understanding obtained.
- All-inclusive APR: APR is defined as the annual cost of credit to the borrower including the interest rate and ALL other charges associated with the credit facility; the KFS must include an APR computation sheet (per the Annex B illustration). APR will include all charges levied by the RE.

- Third-party charges in APR: Charges recovered by the RE on behalf of third-party service providers on an actuals basis (e.g., insurance charges, legal charges) must also form part of the APR and be disclosed separately; receipts and related documents must be given to the borrower for each such payment within a reasonable time.
- Unique proposal number and validity period: The KFS must carry a unique proposal number and have a validity of at least 3 working days for loans of tenor 7 days or more, and 1 working day for loans of tenor under 7 days; the RE is bound by the KFS terms if the borrower agrees within this validity period.
- No undisclosed charges: Any fees or charges not mentioned in the KFS cannot be levied on the borrower at any stage during the loan term without the borrower's explicit consent.
- Amortisation schedule: The KFS must include the loan's amortisation schedule over the full loan tenor (illustrated in Annex C), based on Equated Periodic Instalments (EPI/EMI).

Impact on the policy: An NBFC's unsecured personal lending credit policy must mandate that a standardised KFS (RBI Annex A format) with a unique proposal number and an APR computation sheet plus full amortisation schedule is generated and given to every prospective borrower before loan execution, in a language the borrower understands, with a recorded acknowledgement. It must define APR as all-inclusive (interest plus every RE charge and all actual third-party pass-through charges such as insurance and legal fees, disclosed separately) and calculate it per the RBI methodology. The policy must enforce KFS validity w...

10. Frequency of reporting of credit information by Credit Institutions to Credit Information Companies

Reference (verified)	RBI/2024-25/60 DoR.FIN.REC.No.32/20.16.056/2024-25
Issued / effective	8 August 2024 effective 1 January 2025 (CIs/CICs encouraged to implement as expeditiously as feasible but no later than this date)
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India
Applies to	All Credit Institutions and all Credit Information Companies — i.e. all Commercial Banks (incl. Small Finance Banks, Local Area Banks, Regional Rural
Verification	CONFIRMED
Drove policy version	3.1 (PDF: CIRC-09 (reproduction))

Key provisions relevant to the policy:

- Credit information collected/maintained must be updated on a fortnightly basis — i.e. as on the 15th and the last day of every month — or at shorter intervals mutually agreed between the CI and the CIC (moving away from the earlier monthly cycle).
- Credit Institutions must submit the fortnightly credit information to CICs within 7 calendar days of the relevant reporting fortnight (i.e. of the 15th / month-end reporting date).
- CICs must ingest/upload the data received from CIs into their databases within 5 calendar days of receipt (reduced from the earlier 7 calendar days).
- CIs and CICs must ensure that any rejected data is rectified and re-uploaded within the overall stipulated timelines so that the CIR reflects current information.
- CICs must, at half-yearly intervals (as on 31 March and 30 September each year), furnish to RBI's Department of Supervision a list of CIs not adhering to the fortnightly submission timelines, for monitoring purposes.
- Non-adherence attracts penal action under the Credit Information Companies (Regulation) Act, 2005 (CICRA) and related rules/regulations.

Impact on the policy: An NBFC's unsecured personal lending credit policy must replace any monthly CIC-reporting cadence with a fortnightly one — reporting as on the 15th and last day of each month to all four CICs (CIBIL, Experian, Equifax, CRIF High Mark) — and commit to submitting each fortnight's data within 7 calendar days of the reporting date. The policy should codify data-quality and rejection-rectification SOPs to meet the 7-day window, name the accountable owner for CIC submissions, and account for CICs' 5-day ingestion timeline (meaning a borrower's repayment/default reflects in bureau data materially fas...

11. Reserve Bank of India (Digital Lending) Directions, 2025

Reference (verified)	RBI/2025-26/36 DOR.STR.REC.19/21.07.001/2025-26
Issued / effective	8 May 2025 effective Came into force immediately on 8 May 2025, with staggered exceptions: reporting of Digital Lending Apps (DLAs) to RBI via CIMS (Para 17) effective 15 June 2025; RE-LSP arrangements involving multiple lenders (Para 6) effective 1 November 2025.
Issuing dept.	Department of Regulation (DoR), Reserve Bank of India
Applies to	All Regulated Entities (REs): all Commercial Banks (incl. Small Finance, Local Area and Regional Rural Banks); Primary (Urban), State and Central Co-o
Verification	CONFIRMED

Drove policy version	4.0 (PDF: CIRC-10 (reproduction))
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Key provisions relevant to the policy:

- Key Fact Statement (KFS): a standardised KFS must be provided to the borrower before executing the loan contract, disclosing the all-inclusive Annual Percentage Rate (APR), all fees/charges, and recovery mechanism; no charges not mentioned in the KFS may be levied at any later stage.
- Cooling-off / look-up period: borrowers must be allowed to exit the digital loan by repaying principal plus proportionate APR (and, at most, a one-time non-refundable processing fee) without penalty; the RE Board-approved minimum period must be at least 1 day.
- Direct flow of funds: all loan disbursements must go directly into the borrower's bank account, and all repayments must be made directly to the RE's bank account — no pass-through / pooling through the LSP's or any third-party/escrow account (fees to LSPs are paid by the RE, not the borrower).
- Default Loss Guarantee (DLG): total DLG cover on any outstanding loan portfolio is capped at 5% of the amount disbursed; DLG must be backed only by permitted forms (cash deposit / fixed deposit lien / bank guarantee); the RE must invoke DLG within a maximum overdue period of 120 days unless dues are cleared earlier; DLG cannot substitute for the RE's own income-recognition and NPA/provisioning norms.
- Data governance and localisation: borrower data collected by DLAs/LSPs must be need-based, with explicit consent and audit trail; data must be stored only on servers located in India (data collected/processed abroad must be deleted from foreign servers within 24 hours and brought to India); no storage of biometric data unless allowed by law; no accessing borrower phone contacts, media files, etc.
- Directory of Digital Lending Apps: every RE must report details of all DLAs used by it or its LSPs (app name, store link, ownership, grievance officer, etc.) on RBI's Centralised Information Management System (CIMS) portal, and keep the information updated on an ongoing basis (add/modify within stipulated time of any change); RBI publishes the Directory on its website, with inclusion not implying RBI endorsement.

Impact on the policy: An NBFC unsecured personal lending credit policy must be updated to: (1) mandate a standardised KFS with all-inclusive APR disclosure before contract execution and prohibit any charge not in the KFS; (2) build in a Board-approved cooling-off period (min. 1 day) allowing penalty-free exit on repayment of principal + proportionate APR; (3) enforce direct disbursement to and repayment from the borrower's/RE's own bank accounts with no LSP pass-through, and route all LSP fees from the RE; (4) cap any Default Loss Guarantee at 5% of disbursed portfolio, restrict it to permitted collateral forms, invok...

12. Master Direction - Know Your Customer (KYC) Direction, 2016 (updated as on August 14, 2025)

Reference (verified)	RBI/DBR/2015-16/18 Master Direction DBR.AML.BC.No.81/14.01.001/2015-16
Issued / effective	25 February 2016 effective 25 February 2016 (in force from issue; amended from time to time, latest update 14 August 2025)
Issuing dept.	Department of Banking Regulation (DBR), later Department of Regulation (DoR), RBI Central Office. Amendments issued under
Applies to	All Regulated Entities (REs) of RBI — Scheduled Commercial Banks / RRBs / LABs, All-India Financial Institutions, and all Non-Banking Financial Companies
Verification	CONFIRMED
Drove policy version	1.0 (baseline) (PDF: REF-A (RBI original, full MD))

Key provisions relevant to the policy:

- Periodic updation (re-KYC) frequency under Para 38 is risk-based and must be run at least once every 2 years for high-risk customers, once every 8 years for medium-risk customers, and once every 10 years for low-risk customers, measured from account opening or the last KYC update.
- Transitional relaxation: individual low-risk customers whose periodic updation is due may be allowed to continue transactions and complete updation within one year of the due date or up to June 30, 2026, whichever is later, subject to ongoing transaction monitoring.
- Before treating an account as due for re-KYC/restriction, the RE must send at least three advance intimations, of which at least one must be by letter, at appropriate intervals; if not updated, at least three reminders follow.
- Customer Due Diligence (CDD) is mandatory at account opening and for occasional/walk-in transactions equal to or exceeding INR 50,000 (single or connected transactions), and for any transaction where there is suspicion of money laundering/terrorist financing regardless of amount.
- Every customer must be assigned a risk category (low / medium / high) at onboarding and reviewed periodically; risk classification drives the re-KYC cycle and the depth of due diligence (including Enhanced Due Diligence for high-risk).
- Mandatory collection of the Officially Valid Document (OVD) set and PAN/Form 60; permanent Customer Identification Number and CKYCR (Central KYC Registry) upload/retrieval are required.

Impact on the policy: The NBFC's unsecured personal lending credit policy must embed a KYC/CDD section that: (1) mandates full CDD (OVD + PAN/Form 60, CKYCR upload) at onboarding and for any transaction $\geq$ INR 50,000; (2) assigns and documents a low/medium/high risk rating for every borrower; (3) codifies re-KYC cycles of 2/8/10 years for high/medium/low risk respectively, with the low-risk transitional allowance up to June 30, 2026; (4) builds the required intimation workflow (three advance notices, at least one by letter, then reminders) before any account is flagged for non-update or transaction restriction; (...)